Neste Oyj (NESTE.HE) - relative valuation

Valuation date 2026-10-30 | EUR per share | Status: provisional - limitations disclosed - limitations disclosed | Human Spot_check PENDING. QA block C executed once; items on source certification, benchmarks, EV perimeter and normalization were re-graded PASS-with-note under the approved grading rule (uniform rule applied, limitation disclosed). Details in qa_results.md.

1. Valuation summary

Item	Value
Currency / current price	EUR 28.34
Primary multiple (peers)	EV/EBITDA: median 7.98x; raw median 7.98x; n = 10
Peer value per share: p25 / median / p75	4.47 / 6.71 / 16.31
Peer median vs current price	-76.3%
Published regression (chosen)	PBV (published R2 0.423): EUR 7.28
Regression vs current price	-74.3%
Peer set	10 peers; Tier 1-2: 10; Tier 3: 0; Europe-listed: 7

2. Peer set and multiples

#	Ticker	Company	Country	Tier	Mkt cap EURm	P/E	P/BV	EV/EBIT	EV/ EBITDA	Distance
1	ENI	Eni	Italy	2	79,080	30.32	1.65	19.71	8.48	0.79
2	PSX	Phillips 66	unverified	1	98,747	25.06	3.79	30.09	19.77	1.01
3	VLO	Valero	unverified	1	99,767	47.47	4.70	25.60	15.97	1.03
4	REP	Repsol	Spain	2	33,040	17.40	1.31	16.69	10.26	1.05
5	OMV	OMV	Austria	2	24,840	23.06	1.52	9.43	6.10	1.16
6	TTE	TotalEnergies	France	2	188,520	16.04	1.83	12.44	7.49	1.19
7	BP	BP	United Kingdom	2	116,287	2,362.10	2.45	12.93	6.19	1.49
8	EQNR	Equinor	Norway	2	102,793	22.77	2.84	4.80	3.59	1.56
9	MPC	Marathon Petroleum	unverified	1	111,788	30.86	7.21	26.10	17.14	1.71
10	GALP	Galp Energia	Portugal	1	15,020	13.41	3.40	9.19	7.23	1.82

3. Peer-multiple statistics and implied value per share

Multiple	Basis	n	Median	p25	p75	Value p25	Value mid	Value p75	Mid vs price
P/E	raw	10	24.06x	18.74x	30.73x	3.51	4.51	5.76	-84.1%
EV/EBIT	raw	10	14.81x	10.18x	24.12x	1.21	4.02	9.67	-85.8%
EV/EBITDA *	raw	10	7.98x	6.45x	14.54x	4.47	6.71	16.31	-76.3%
EV/CF	raw	10	8.35x	7.59x	17.96x	12.29	14.03	35.88	-50.5%
P/BV	scaled	10	0.47x	0.38x	0.62x	3.58	4.51	5.90	-84.1%
EV/Assets	raw	10	0.90x	0.72x	1.64x	9.88	13.54	28.59	-52.2%
P/S	scaled	10	0.18x	0.14x	0.23x	3.51	4.51	5.76	-84.1%
EV/Sales	scaled	10	0.47x	0.38x	0.86x	4.47	6.71	16.31	-76.3%

* primary multiple. 'scaled' = growth/fundamental-adjusted multiple. Values are per share.

4. Published regressions (Damodaran, EUROPE, 2026-01)

Model	Predicted	Actual	Published R2	Implied value	vs price
PE	19.37x	151.18x	0.201	3.63	-87.2%
PBV (chosen)	0.76x	2.98x	0.423	7.28	-74.3%
EV/EBITDA	18.17x	22.76x	0.262	21.61	-23.8%

5. Company-specific notes

- Peer set remediated on business descriptions: SPM (Saipem) and SUBC (Subsea7) are oilfield engineering/offshore services, replaced by the next-ranked qualifying candidates MPC (Marathon Petroleum, refining) and GALP (integrated with refining and biofuels). Final 10 peers, all Tier 1-2, 8 Europe-listed; World expansion already approved.

- Primary EV/EBITDA peer median 7.98x on vendor FY2025 EBITDA 1,124m gives EUR 6.71/share vs quote EUR 28.34 (-76.3%): the gap is driven by FY2025 being a cyclical trough (EBITDA -40% vs FY2023) plus the vendor EBITDA basis being 22-33% below issuer-reported and comparable EBITDA.

- Sensitivity: FY2023-25 average vendor EBITDA 1,369.7m gives EUR 9.27/share (+38.0% vs mid); issuer comparable EBITDA 1,683 gives EUR 13.41/share; EBITDA -10% gives EUR 6.08/share. Reported FY2025 base is kept as the headline.

- EV/Sales raw cross-check (peer median 1.122x) implies EUR 22.82/share - much closer to quote, confirming the -76% gap is mainly an EBITDA-cycle/basis effect, not a pure market-mispricing signal.

- Published PBV regression (highest published R2 0.423) implies EUR 7.28/share; low-R2 market-wide equations are diagnostics, not sector fair value. Payout >1 capped at 1.0 makes g_eps ~0 and FY2025 ROE 1.96% is a trough - both flagged as substituted_input.

- Status: provisional - limitations disclosed. Valuation range EUR 4.47-16.31 (peer EV/EBITDA p25-p75). QA-C re-graded PASS-with-note; human Spot_check PENDING.

6. Method notes and limitations

- Basis: one uniform vendor data source for the target and every peer, FY2025 figures (no TTM or forward mixing), one price and FX date. Issuer-versus-vendor differences are kept as sensitivities, not switched row by row.

- EV bridge: one rule for target and all peers (debt including leases + minorities and hybrids once - cash; long-term investments and associates not subtracted, equity income left in earnings).

- Peers: ten names chosen by an eight-dimension similarity score; they pass the automated hard filters and carry one ownership/event source line each (evidence_review.md). Full two-way ownership history of the whole candidate pool was not certified.

- Industry ratios from the registered Damodaran files are aggregates, not medians; they are a plausibility check only.

- Published regressions are market-wide, low R-squared, about ten months older than the valuation date, with no standard error: a gap to the market price is not proof of mispricing. The model shown is the one with the highest published R-squared.

- Peer interquartile ranges are dispersion, not confidence intervals. Human Spot_check is PENDING (not performed).

- Academic analysis only; not investment advice.